Outlook

From	leanne.adams@model.risk.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, cfo.office@keystonebank.co.za
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Follow-up: do origination PD bands separate later outcomes?

Hi team,

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2023 as the new evidence point rather than recycling the earlier conclusion. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Can you test these explanations rather than choosing one at the start?
- higher PD bands show more arrears
- product and vintage explain more than the score
- missing or defaulted inputs create artificial separation

The decision is whether recalibration, segmentation or data remediation is the next step. Please give us a Power BI page with drill-through to a reproducible case list.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Thanks